ORACLE

Oracle Corporation

NYSE: $ORCL | Long Recommendation

Current price	Price target	Upside	Horizon
$147	$170	+16%	12 months

Jaysun Yoon | Personal project | September 2026

BUSINESS OVERVIEW

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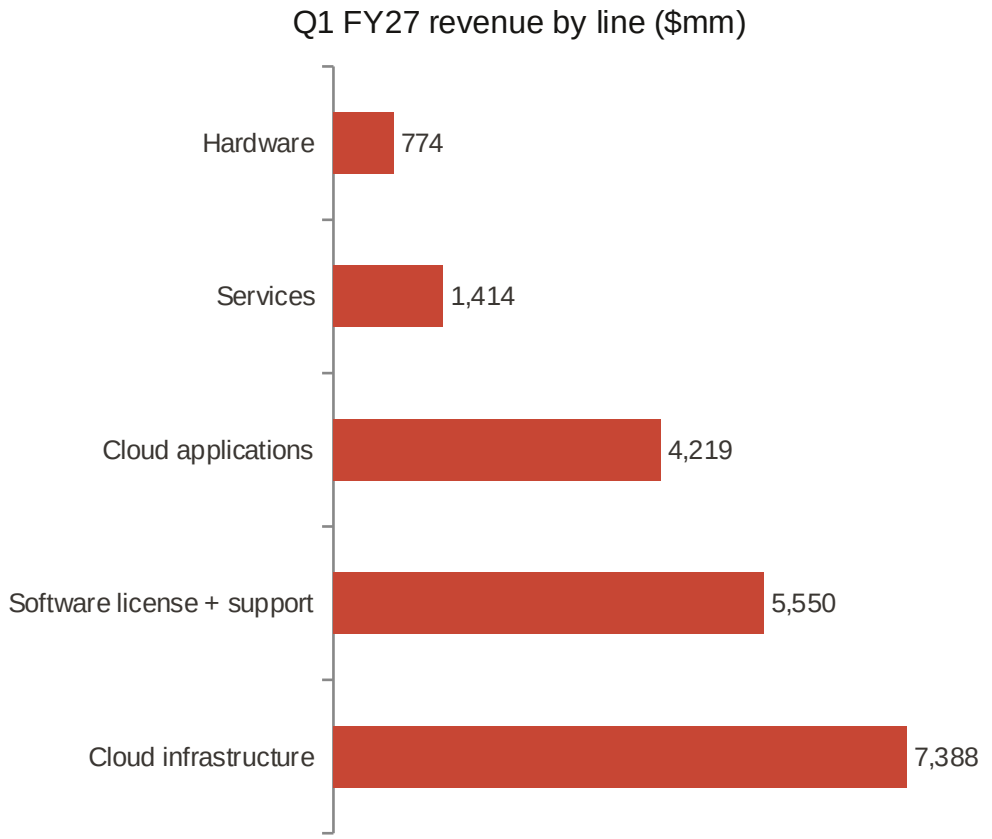
A database company that became the fourth hyperscaler

- **Founded 1977**
  Larry Ellison, Bob Miner, Ed Oates. Austin, TX. Co-CEOs Clay Magouyrk and Mike Sicilia.

- **Three segments**
  Cloud and software (89% of revenue), services (7%), hardware (4%).

- **Cloud is now 60%**
  Up from 48% a year ago as customers migrate off on-premise deployments.

- **The moat is the database**
  Mission-critical enterprise data sits in Oracle DB. Multicloud runs it inside Azure, AWS, and GCP.



Source: Oracle Form 10-Q, quarter ended August 31, 2026.

THE SETUP

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The backlog grew 46%. The stock fell 58%.

$664B

Remaining performance obligations, up from $455B

121%

Cloud infrastructure revenue growth

(51%)

Share price, trailing twelve months

What changed was not the business

- **FY26 10-K** — Oracle's own risk language warned the buildout could pressure profitability, validating the bear framing in the company's words.
- **S&P downgrade, July 9** — Cut to BBB- citing leverage and customer concentration. Mid-4x adjusted leverage expected in FY27.
- **Capex and cash flow** — FY27 guidance of $90-95B. Free cash flow of negative $5.4B in Q1. Shares bottomed at $114.50.

The market repriced the backlog from contracted revenue into a debt-financed bet. The backlog itself never shrank.

INVESTMENT THESIS

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Fair Price for a Growing Business

01

Backlog is converting on schedule

Cloud infrastructure revenue rose 121% to $7.4B as Oracle brought 850MW online. Q1 revenue grew sequentially off a record Q4 for the first time. Oracle discloses that 13% of RPO, roughly $86B, converts within twelve months.

02

Customers are prepaying

Oracle took in $11.4B of customer prepayments with a significant financing component this quarter, against zero a year ago. Deferred revenue doubled to $30.8B. Cash received is the strongest available evidence on counterparty quality.

03

The moat is the database, not the GPUs

Renting compute is commoditizing. Software support fell only 1% year over year, so the legacy annuity is sticky. That business is the downside floor; multicloud placement next to enterprise data is the upside.

Source: Oracle Form 10-Q, quarter ended August 31, 2026.

Five-year DCF, cross-checked against forward multiples

Method	Implied price	Note
DCF, 11.7% WACC, 18.0x exit EBIT	**$160**	Terminal value is 96% of EV
Forward P/E at 20x	**$162**	vs. MSFT 26x, GOOGL 22x
Forward P/E at 22x	**$178**	Parity with Alphabet
Price target	**$170**	+16% from $147
Street consensus	**$239**	We sit deliberately below

Key assumptions

- OCI decelerates 44% / 27% / 16% / 9%, tied to the disclosed RPO conversion schedule
- EBIT margin expands 35% to 38% as capacity utilizes
- Capex steps down $92B to $55B, converging with D&A
- Six-year useful life on servers, per Note 3
- 11.7% WACC driven by a 1.7 beta
- EBIT exit multiple, not EBITDA, because D&A is the whole debate

Sum of the parts: valuing the stable business at 5.0x revenue implies the market pays roughly $342B for cloud infrastructure and the entire backlog, or **52 cents on the dollar of contracted RPO.**

Sensitivity: WACC 10.5-12.5% and exit multiple 14.0-22.0x produce a range of $111 to $218 per share.

What forces the market to reprice

Investor Day

Near term

First scheduled opportunity for management to disclose backlog composition and OCI unit economics, the two figures the market currently discounts entirely. Each turn of multiple expansion is worth roughly $8 per share.

Q2 FY27 earnings

~December 10

A second consecutive quarter of on-schedule capacity conversion turns one print into a trend. Watch RPO direction, megawatts delivered, and gross margin stabilization.

Capex execution milestones

6 to 12 months

Oracle guided to $90-95B and delivered 850MW in Q1. Each subsequent delivery tests the execution risk currently embedded in the price.

Next financing decision

6 to 12 months

The $20B ATM was fully utilized at 141mm shares, resolving the dilution overhang. How Oracle funds remaining capex either confirms or breaks the funding thesis.

What would prove us wrong

Customer concentration

Highest

BofA estimates OpenAI is more than half the backlog, tied to a ~$300B contract. Oracle does not disclose customer-level RPO, and 71% sits beyond three years.

Mitigant: $11.4B prepaid this quarter; contracted capacity is fungible in a supply-constrained market.

Off-balance-sheet obligations

High

$288B of additional data center leases commencing FY27-FY29 on 15-19 year terms, plus $34.2B of purchase obligations, on top of $125.3B debt and $43.8B lease liabilities.

Mitigant: matched against contracted revenue, and management retains timing flexibility on discretionary capex.

Earnings quality

Moderate

Six-year useful life is aggressive for AI hardware. Excluding the prepayment, operating cash flow was $11.7B, not $23.1B. Senior notes carried at $125.0B trade at $105.7B.

Mitigant: six years sits within peer range and assets are contracted against long-dated revenue.

RECOMMENDATION

Long Oracle at $147, target $170

The backlog grew 46% while the stock fell 51%. At 17x forward earnings you are paying a fair price for a sticky software annuity and roughly 52 cents on the dollar for $664 billion of contracted revenue. The concentration and leverage risks are real, which is why our target sits well below the $239 Street consensus rather than above it.

Entry	Target	Downside case	Upside case
$147	$170	$111	$218

Sensitivity range reflects WACC of 10.5-12.5% and exit multiples of 14.0-22.0x.